

Houston was six men and a dog, and the dog was dead. Houston was in a basically uninhabitable part of the world. But then came air conditioners, which made southern California, Texas, and Arizona boom areas. Phoenix is a thriving city, in spite of the fact that it gets to 116 degrees in the summer. Without air-conditioning it would still be a trading post. So Carrier made a moderate amount of money, but the big money came to the fellows who owned the land, built the tract houses, created the stores (like Phoenix's Goldwater's), and opened the restaurants.

Sometimes it's hard to find a way to play a new technology. The fax machine, for example, has had an enormous impact in business communications, but there is no "fax company," either here or in Japan. Fax machines are just one of the businesses of some large companies. Also, it was a high-risk investment, because it is one of those businesses that can't make money until it's mature. The fax machine existed for at least a decade before it meant anything; the fax machine works only if both you and I have one. Once it reached a critical mass, it exploded. It went from being something you never used into something you use all the time. The laser presents a similar situation. It is a magnificent technology, but there's no such thing as an IBM of the laser industry.

The Mighty Computer

The computer is in a class by itself. It has revolutionized the banking industry, the insurance industry, the distribution industry. The computer created the credit card industry and whole new industries based on databases and data processing.

Computer technology, as an aside, also provides another argument for small-company stocks. It used to be that big companies had the advantage because their expensive mainframe computer systems gave them faster information, which allowed them to control their operations more efficiently. But the microcomputer has